

9 EMA Scalp

Why the 9 EMA Scalp works:

- When there is a stock with fresh news that attracts institutional participants, they will sometimes look to get involved with the stock using an algorithmic program. Oftentimes, we will see an algorithm programmed to buy at the 9 EMA.
- We can use this to our advantage by recognizing this buying and joining the buy program

Entry Rules (inverted rules for the short side):

- Enter near the 9 EMA when the bids start to hold

Stop Loss Rules:

- The stop should be placed just below the 21 EMA

Exit Rules:

- This is a momentum trade so we will look to exit into momentum after the HOD break or using a 9 EMA trail

Factors that increase the probability of this trade working:

- A changing fundamentals catalyst
- A strong opening drive that indicates that this may be a trending move
- A breakout of an important daily level

Factors that decrease the probability of this trade working:

- A choppy opening move
- We do not want to see too big of a move before the 9 EMA test as this may indicate that the trend is closer to the end

The ideal times of day to take this trade:

- Opening Auction (9:35 AM - 9:45 AM)
- Morning (9:45 AM - 11 AM)

When do we avoid this trade entirely?:

- This trade is a bet that the stock will trend so we will avoid this trade entirely if it does not have a strong catalyst or setup

